

FEDERAL MARITIME COMMISSION

Office of the Administrative Law Judges

TEN BY THREE, *Claimant*

v.

OEC GROUP, *Respondent*.

DOCKET NO. 2044(I)

Served: February 24, 2026

BEFORE: Debra L. TESH, *Small Claims Officer*

INITIAL DECISION APPROVING CONFIDENTIAL SETTLEMENT AND DISMISSING PROCEEDING¹

On January 23, 2026, the Claimant, Ten by Three, filed an informal complaint against Respondent, OEC Group. The Secretary of the Federal Maritime Commission (“FMC”) issued a Notice of Filing of Small Claims Complaint and Assignment on the same date. On February 5, 2026, the Respondent filed an Answer. On February 5, 2026, the Chief Executive Officer for Ten by Three confirmed receipt of the Respondent’s Answer and communicated to the FMC that the parties were working toward negotiating a settlement. The communication requested abeyance of any near-term filing deadlines while the parties finalized the settlement agreement and a joint motion for approval.

On February 17, 2026, the parties filed a Joint Motion for Approval and Confidential Treatment of Settlement Agreement and Release (“Joint Motion”). A copy of the Confidential Stipulation of Dismissal and Release (“Confidential Settlement Agreement”)² was provided the following day. The parties ask that the Claim be dismissed with prejudice based on the settlement agreement and satisfaction of payment for the amount Claimant asserted it was owed.

The Commission's consistent policy is to “encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid.” *Access One Transport, Inc., v. CMA CGM S.A.*, Docket No. 24-18, 2024 WL 5119296 at *1 (ALJ Dec. 10, 2024)

¹ This Initial Decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two (22) days of the date of service. 46 C.F.R. § 502.227.

² The Joint Motion title refers to an associated Settlement Agreement and Release, which contains the settlement terms negotiated and agreed upon by the parties. In the body of the Joint Motion, this document is referred to as the Confidential Settlement Agreement. However, the parties titled the actual document as Confidential Stipulation of Dismissal and Release. To avoid confusion and maintain a consistent nomenclature, the undersigned refers to the document in this Initial Decision as the Confidential Settlement Agreement.

(quoting *Inlet Fish Producers, Inv. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ May 9, 2002) and *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 21 F.M.C. 506, 512, 18 S.R.R. 1085, 1091 (ALJ Nov. 29, 1978)).

Although not directly applicable to informal Part S proceedings, the Commission's Rules of Practice and Procedure for dismissal and settlement are used as guidance for ruling on the parties' request. The parties are afforded an opportunity to submit offers of settlement "where time, the nature of the proceeding, and the public interest permit." 46 C.F.R. § 502.75(a), (b); see 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, "the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or any other defect which might make it unapprovable." Unless the order states otherwise, a dismissal under this paragraph is without prejudice." 46 C.F.R. § 502.72(a)(3).

Although this policy is generally followed, "the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Access One*, 2024 WL 5119296 at * 2 (quoting *Old Ben Coal*, 18 S.R.R. at 1093). A settlement agreement that does not violate any law or policy and is free of fraud, duress, undue influence, mistake, or other defect that might make it unapprovable would likely be approved. *Id.* "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia - New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134, 1988 WL 340657 at *7 (ALJ Aug. 12, 1988).

The parties assert in their Joint Motion that the Confidential Settlement Agreement should be approved because it satisfies the Commission's criteria for approval. Joint Motion at 1. They state:

In this Small Claims matter, the Parties, both sophisticated corporate entities, arrived at the Confidential Settlement Agreement through arm's length negotiations and support this motion and the relief that it seeks. The Confidential Settlement Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Instead, the Confidential Settlement Agreement is a fair and reasonable resolution of the disputes between the Parties and reflects their desire to resolve their issues without the need for costly and uncertain litigation.

Joint Motion at 3-4.

The signed Confidential Settlement Agreement does not show any indicia of fraud, duress, undue influence, or mistake. Based on the representations in the Joint Motion and the other documents filed in this matter, the parties have established that the Confidential Settlement Agreement does not violate any law or policy, or contain other defects, which might render it unapprovable. The terms appear to be fair, reasonable and adequate and avoid the need for costly

and uncertain litigation. Accordingly, the Confidential Settlement Agreement is approved, and this proceeding is dismissed with prejudice.

The parties also request that the Confidential Settlement Agreement be afforded confidential treatment pursuant to 46 C.F.R. § 502.5. The Commission has recognized that “settlement agreements often contain sensitive commercial information that should be protected from public disclosure.” *D.F. Young, Inc. v. NYK Line (North America) Inc.*, Docket No. 16-02, 2018 WL 2411779, at *2 (FMC May 22, 2018). However, the Commission has also stated that a party should “provide good cause demonstrating why any of the terms of the settlement are a trade secret or other confidential research, development, or commercial information[.]” *Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Docket No. 2014(I), 2024 WL 5054939, at *1 (FMC Dec. 4, 2024).

Here, the parties state the agreement “is the result of confidential commercial negotiations between the parties, and the parties therefore respectfully request leave to file the Confidential Settlement Agreement under seal for review and approval, and that the Confidential Settlement Agreement thereafter continue to be afforded confidential treatment by the FMC.” Joint Motion at 4.

The Confidential Settlement Agreement has been reviewed by the undersigned and is available to the Commission. The parties indicate the agreement contains confidential commercial negotiations; therefore, the parties’ request to keep the terms of the document confidential is reasonable and is granted. The Confidential Settlement Agreement will be maintained in the Secretary’s confidential files.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby

ORDERED that Joint Motion to approve the settlement agreement be **GRANTED**. It is

FURTHER ORDERED that the request for confidential treatment be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.

Debra L.

Tesh -S

Debra L. Tesh
Small Claims Officer

Digitally signed by Debra
L. Tesh -S

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